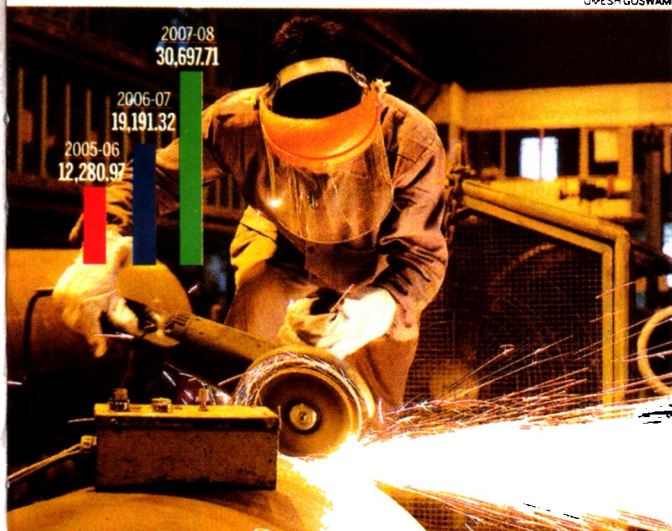


UMESH GOSWAMI

Figures in Rs crore



MACHINERY: Capital goods with poor life-cycles imported from China are affecting plant productivity



SILK: Raw silk from China has flooded the Indian market, thanks to a supply shortfall of about 10,000 metric tonnes

Source Ministry of Commerce

mind your exporting to India... but you can't export to an extent which can kill our domestic industry."

That is exactly what is bothering the Government and industry as China looks beyond the West to get rid of its inventories which have, however, swelled by almost 280 per cent between November 2008 and January 2009. As Kumar Mangalam Birla put it at a recent roundtable on tackling the downturn, China used to supply to the US and since that market is closed, it is turning to India. According to the chairman of the Aditya Birla Group, the Chinese are not as value conscious as they are employment conscious.

Burgeoning trade between the two countries is also worrying India. Trade is growing at nearly 50 per cent a year but the balance of trade is widening in China's favour. Between January and September 2008, bilateral trade reached \$42 billion, up 55 per cent, but India's balance of trade shows a deficit of \$16 billion. Today, China, as India's largest trading partner, is better positioned than before to push cheap imports into India. Its government has eased export norms to boost the country's falling exports that dipped 17.5 per cent in January from the year before. It has also lowered the interest rates for exporters, making exports 20 per cent cheaper. The "China price" has put Indian ex-

porters on the run with many slashing prices by 10-15 per cent just to survive in the market.

Toy manufacturers are no less worried. "China has captured anywhere between 60-90 per cent of India's \$2.5-billion toy market," says Ashok Jain, a toy manufacturer in Mumbai. "It will snatch our market share with a minimum landed price of Rs 20 compared to the Rs 40-45 for the same toy," he adds. Jain is not the only one complaining. "We have suffered a loss of Rs 197 crore in Q3 because of cheap raw material from China. There is a need for protecting industry," says Krishnamurti of Jindal Steel, which has initiated anti-dumping investigations on imports of hot-rolled steel products.

In another move to protect industry, the Government has re-imposed anti-dumping duty on raw silk for another five years after the ban from 2003-08 expired, on fears of further dumping by China. Chinese silk lands in India at a price of \$25 per metric tonne against Rs \$36.20 per metric tonne for Indian silk. Also, auto components landing at 15-30 per cent cheaper prices are now being probed for anti-dumping measures.

The Government may have bowed to global pressures on the toy ban but with an array of safeguard measures on the way, the crouching tiger is gearing up to take on the hidden dragon. ■

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